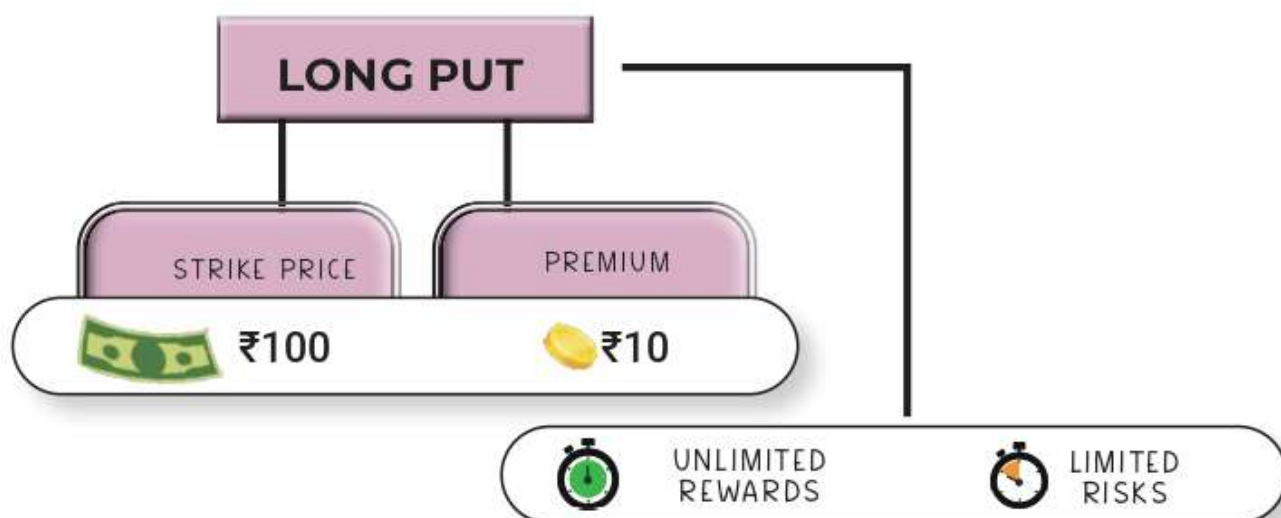


6.3 UNDERSTANDING PAYOFF CHARTS FOR PUT OPTIONS

PAY-OFF FOR PUT BUYER

Suppose that Mr. A buys a put option at a Strike price of ₹100 and pays a premium amount of ₹10 for the same.



In the graph above, we have Profit or Loss on the Y-axis and Price of the Stock at the expiration on the X-axis.